

26CHCV00428 26CHCV00428

County: los-angeles

Division: Civil Law and Motion

Department: F51

Hearing date: 2026-08-05

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CHA%2CF51%2C08%2F05%2F2026

Source SHA-256: 3b27127997afb79e61bd9e0c2774c03216130ffb7ee8f308d204d3e0282fc90f

Case Number: 26CHCV00428 Hearing Date: August 5, 2026 Dept: F51

LOS ANGELES SUPERIOR
COURT

NORTH VALLEY DISTRICT

DEPARTMENT F-51

AUGUST
4, 2026

MOTION TO COMPEL
ARBITRATION

Los
Angeles Superior Court Case # 26CHCV00428

Motion filed: 3/9/26

MOVING PARTY: Defendant Mercedes-Benz USA, LLC ("Moving
Defendant")

RESPONDING PARTY: Plaintiff Nune Arkadii Aghabekyan
("Plaintiff")

NOTICE: OK

RELIEF REQUESTED: An order: (1) compelling Plaintiff
to submit his claims to arbitration; and (2) staying this action pending the

outcome of the arbitration.

TENTATIVE RULING: The motion is granted. Plaintiff is ordered to submit his claims against Defendants to arbitration, and the action is stayed pending the outcome of arbitration.

BACKGROUND

Plaintiff brings this action under the Song-Beverly Consumer Warranty Act (Civil Code § 1790 et seq.) for a vehicle he leased on 5/3/24, for which Moving Defendant issued the manufacturer's express warranty. (Compl. ¶¶ 6, 8.)

On 2/2/26, Plaintiff filed his complaint, alleging against two named defendants the following causes of action: (1) Fraud and Deceit; (2) Breach of Written Warranty Pursuant to the Song-Beverly Consumer Warranty Act; (3) Breach of Implied Warranty Pursuant to the Song-Beverly Consumer Warranty Act; (4) Violation of Business and Professions Code § 17200 et seq.; (5) Violation of Business and Professions Code § 17500 et seq.; (6) Negligence; and (7) Strict Liability.

On 3/9/26, Moving Defendant filed the instant motion. On 3/12/26, defendant Second Motor Group of Valencia, LLC ("Second Motor") filed a joinder to the instant motion. On 7/20/26, Plaintiff filed his opposition. On 7/29/26, Moving Defendant filed its reply.

//

//

//

//

//

ANALYSIS

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and

enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.)

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. § 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference." (Cal. Rules of Court, rule 3.1330.)

The moving party must also establish the other party's refusal to arbitrate the controversy. (Code of Civ. Proc. § 1281.2.) The filing of a lawsuit against the moving party for a controversy clearly within the scope of the arbitration agreement affirmatively establishes the other party's refusal to arbitrate the controversy. (Hyundai Amco America, Inc. v. S3H, Inc. (2014) 232 Cal.App.4th 572, 577.)

Here, the issue presented is whether Moving Defendant, as the nonsignatory manufacturer of the subject vehicle, may invoke the arbitration provision in a contract of sale entered into between Plaintiff and Second Motor, the selling dealership.

-

Lease Contract

Here, the parties do not dispute the existence of a written agreement containing an arbitration provision. The subject lease agreement (the "Lease") itself, a copy of which Moving Defendant has attached to its moving papers, provides the terms for the financing of the vehicle purchase, and includes an arbitration clause at the end of the agreement.

A.

Scope of Agreement

The arbitration provision in the Lease

provides, in relevant part: “Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a ‘Third Party Beneficiary’), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.” (Ex. 1 to Decl. of Miles F. Maurino, p. 4 [emphasis added].)

Moving Defendant asserts that “here, Plaintiff’s claims on their face arise directly out of the relationship between Plaintiff as purchaser/consumer and MBUSA as the distributor/warrantor.” (Def.’s Mot. 8:22–24.) In opposition, Plaintiff argues that his “relationship with MBUSA as a manufacturer and warrantor exists independently of the Lease Agreement and arises from statutory law and MBUSA’s own warranties and not from the Lease itself.” (Pl.’s Opp. 8:23–25.)

The Court disagrees, noting that here, Plaintiff alleges, *inter alia*, that “Plaintiff took possession of the Subject Vehicle and shortly thereafter experienced the various defects listed below that substantially impair the use, value, and safety of the Subject Vehicle.” (Compl. ¶ 9.) The Court finds that these claims fall squarely within the scope of the arbitration agreement.

Based on the foregoing, the Court finds that Moving Defendant has met its initial burden to establish the existence of a written agreement that would provide for the arbitration of Plaintiff’s asserted claims. However, in order to invoke the arbitration agreement, Moving Defendant must also establish a basis allowing it to enforce the agreement as a nonsignatory to the Lease.

-

Third-Party Beneficiary

Here, the agreement is executed solely between Plaintiff and joining defendant Second Motor Group. The right to

arbitration may generally only be invoked by parties to the purported arbitration agreement. (Code of Civ. Proc. § 1281.2.) Here, Moving Defendant argues that it may nevertheless enforce the arbitration agreement of the Lease under the third-party beneficiary theory.

“A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” (Civ. Code § 1559.) “Third parties may enforce a contract with an arbitration provision ... where they are intended third party beneficiaries or are assigned rights under the contract.” (Cohen v. TNP 2008 Participating Notes Program, LLC (2019) 31 Cal.App.5th 840, 856.)

To show the contracting parties intended to benefit it, a third party must show that, under the express terms of the contract at issue and any other relevant circumstances under which the contract was made, (1) “the third party would in fact benefit from the contract”; (2) “a motivating purpose of the contracting parties was to provide a benefit to the third party”; and (3) permitting the third party to enforce the contract “is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

Here, Moving Defendant argues that “reading the contract as a whole, it is clear MBUSA is an intended third-party beneficiary of the arbitration provision as it not only falls within the class of persons or entities for whom the arbitration provision was intended, but is specifically named and defined as a third-party beneficiary under the Lease.” (Def.’s Mot. 4:12–15.)

In *Ochoa v. Ford Motor Company* (2023) 89 Cal.App.5th 1324, the Court of Appeal addressed the issue of third-party beneficiary standing, and found that “the sale contracts reflect no intention to benefit a vehicle manufacturer under *Goonewardene*.” (89 Cal.App.5th at 1338.) The court further asserted that “if the signatories had intended to benefit [the defendant], such a purpose would have been easy to articulate,” and the contract’s reference to “third parties” concerns only “what may be arbitrated, not who may arbitrate.” (Id. at 1339 [emphasis in original].)

Plaintiff argues in opposition that

Moving Defendant is not an intended third-party beneficiary because “the contract was plainly made to govern the lease transaction between Plaintiff and the lessor, not to create independent enforcement rights for MBUSA concerning disputes over its separate warranty obligations as manufacturer. Merely inserting MBUSA’s name into an arbitration paragraph does not transform the agreement into one ‘made expressly for the benefit’ of MBUSA within the meaning of section 1559.” (Pl.’s Opp. 6:21–25.) Plaintiff further argues that “the California Supreme Court in Ford Motor Warranty Cases [Ochoa] made clear that that a manufacturer cannot compel arbitration through a dealer agreement where the plaintiff’s claims arise from independent statutory and warranty obligations.” (Id. at 6:28–7:2.)

However, the Court finds that here, in contrast to Ochoa, the arbitration provision contained in the Lease specifically states that Moving Defendant is an intended third-party beneficiary, and as such, may elect to arbitrate claims subject to the arbitration provision. (Ex. 1 to Maurino Decl., p. 4; 89 Cal.App.5th at 1339.) Therefore, the Court agrees with Moving Defendant that “the plain language of the lease agreement and MBUSA’s Motion make it abundantly clear that both the drafters of the lease, as well as MBUSA, were in agreement as to the benefit conferred upon MBUSA through the arbitration clause.” (Def’s Reply 4:7–10.)

Based on the foregoing, the Court finds that Moving Defendant is an intended third-party beneficiary to the Lease, and therefore may compel Plaintiff’s claims to arbitration. The Court further notes that defendant Second Motor has joined the instant motion and may therefore compel the arbitration of Plaintiff’s claims as the signatory to the Lease.

-

Stay of Proceedings

If the Court has ordered arbitration, the action or proceeding shall be stayed. (Code Civ. Proc. § 1281.4.) Here, as the Court grants Moving Defendant’s motion to compel arbitration, the case is therefore stayed pending completion of arbitration. The Court will set an OSC re: Status of Arbitration and Stay at the time of the hearing.

CONCLUSION

The motion is granted. Plaintiff is ordered to submit his claims against Defendants to arbitration, and the action is stayed pending the outcome of arbitration.